

Return of Organization Exempt from Income Tax

OMB No. 1545-0047

2002

Open to Public Inspection

Department of the Treasury
Internal Revenue ServiceUnder section 501(c), 527, or 4947(a)(1) of the Internal Revenue Code
(except black lung benefit trust or private foundation)

The organization may have to use a copy of this return to satisfy state reporting requirements.

A For the 2002 calendar year, or tax year beginning 7/01, 2002, and ending 6/30, 2003

B Check if applicable:

- ☐ Address change
☐ Name change
☐ Initial return
☐ Final return
☐ Amended return
☐ Application pending

Please use
IRS label
or print
or type.
See
specific
instruc-
tions.

Mercy House Transitional Living Centers
P. O. Box 1905
Santa Ana, CA 92702

D Employer identification number

33-0315864

E Telephone number

714-836-7188

F Accounting method:

☒ Cash ☐ Accrual☐ Other (specify) _____

Section 501(c)(3) organizations and 4947(a)(1) nonexempt
charitable trusts must attach a completed Schedule A
(Form 990 or 990-EZ).

H and I are not applicable to section 527 organizations.

H (a) Is this a group return for affiliates? ☐ Yes ☒ No

H (b) If 'Yes,' enter number of affiliates: _____

H (c) Are all affiliates included? ☐ Yes ☐ No
(If 'No,' attach a list. See instructions.)H (d) Is this a separate return filed by an
organization covered by a group ruling? ☐ Yes ☒ No

I Enter 4-digit GEN: _____

M Check ☒ if the organization is not required
to attach Schedule B (Form 990, 990-EZ, or 990-PF).

G Web site: N/A

J Organization type

(check only one) ☒ 501(c) 3 (insert no.) ☐ 4947(a)(1) or ☐ 527

K Check here ☐ if the organization's gross receipts are normally not more than
\$25,000. The organization need not file a return with the IRS; but if the organization
received a Form 990 Package in the mail, it should file a return without financial data.
Some states require a complete return.

L Gross receipts: Add lines 6b, 8b, 9b, and 10b to line 12 1,120,341.

Part I Revenue, Expenses, and Changes in Net Assets or Fund Balances (See instructions)

1 Contributions, gifts, grants, and similar amounts received:				
a Direct public support	1a	469,625.		
b Indirect public support	1b			
c Government contributions (grants)	1c	541,555.		
d Total (add lines 1a through 1c) (cash \$ 1,011,180. noncash \$)	1d		1,011,180.	
2 Program service revenue including government fees and contracts (from Part VII, line 93)	2		106,607.	
3 Membership dues and assessments	3			
4 Interest on savings and temporary cash investments	4		2,554.	
5 Dividends and interest from securities	5			
6a Gross rents	6a			
b Less: rental expenses	6b			
c Net rental income or (loss) (subtract line 6b from line 6a)	6c			
7 Other investment income (describe: _____)	7			
8a Gross amount from sales of assets other than inventory	(A) Securities		(B) Other	
b Less: cost or other basis and sales expenses	8a			
c Gain or (loss) (attach schedule)	8b			
d Net gain or (loss) (combine line 8c, columns (A) and (B))	8c			
9 Special events and activities (attach schedule)	8d			
a Gross revenue (not including \$ _____ of contributions reported on line 1a)	9a			
b Less: direct expenses other than fundraising expenses	9b			
c Net income or (loss) from special events (subtract line 9b from line 9a)	9c			
10a Gross sales of inventory, less returns and allowances	10a			
b Less: cost of goods sold	10b			
c Gross profit or (loss) from sales of inventory (attach schedule) (subtract line 10b from line 10a)	10c			
11 Other revenue (from Part VII, line 103)	11			
12 Total revenue (add lines 1d, 2, 3, 4, 5, 6c, 7, 8d, 9c, 10c, and 11)	12		1,120,341.	
13 Program services (from line 44, column (B))	13		1,015,999.	
14 Management and general (from line 44, column (C))	14		136,359.	
15 Fundraising (from line 44, column (D))	15		141,513.	
16 Payments to affiliates (attach schedule)	16			
17 Total expenses (add lines 16 and 44, column (A))	17		1,293,871.	
18 Excess or (deficit) for the year (subtract line 17 from line 12)	18		-173,530.	
19 Net assets or fund balances at beginning of year (from line 73, column (A))	19		3,445,550.	
20 Other changes in net assets or fund balances (attach explanation)	20	See Statement 1	-1,494.	
21 Net assets or fund balances at end of year (combine lines 18, 19, and 20)	21		3,270,526.	

Part II Statement of Functional Expenses All organizations must complete column (A). Columns (B), (C), and (D) are required for section 501(c)(3) and (4) organizations and section 4947(a)(1) nonexempt charitable trusts but optional for others.

Do not include amounts reported on line 6b, 8b, 9b, 10b, or 16 of Part I.		(A) Total	(B) Program services	(C) Management and general	(D) Fundraising
22 Grants and allocations (att sch) (cash \$ _____ non-cash \$ _____)	22				
23 Specific assistance to individuals (att sch)	23				
24 Benefits paid to or for members (att sch)	24				
25 Compensation of officers, directors, etc	25				
26 Other salaries and wages	26	494,289.	349,157.	65,267.	79,865.
27 Pension plan contributions	27				
28 Other employee benefits	28				
29 Payroll taxes	29				
30 Professional fundraising fees	30	488.		184.	304.
31 Accounting fees	31	9,800.		9,800.	
32 Legal fees	32				
33 Supplies	33	19,756.	6,743.	13,013.	
34 Telephone	34	16,850.	13,029.	3,821.	
35 Postage and shipping	35	9,445.	558.	4,503.	4,384.
36 Occupancy	36				
37 Equipment rental and maintenance	37	3,300.	3,300.		
38 Printing and publications	38	21,851.		6,445.	15,406.
39 Travel	39	543.	100.	443.	
40 Conferences, conventions, and meetings	40	702.	75.	202.	425.
41 Interest	41	10,772.	10,772.		
42 Depreciation, depletion, etc (attach schedule)	42	123,190.	116,617.	6,573.	
43 Other expenses not covered above (itemize):					
a See Statement 2	43a	582,885.	515,648.	26,108.	41,129.
b	43b				
c	43c				
d	43d				
e	43e				
44 Total functional expenses (add lines 22 - 43). Organizations completing columns (B) - (D), carry these totals to lines 13 - 15.	44	1,293,871.	1,015,999.	136,359.	141,513.

Joint Costs. Check ☐ if you are following SOP 98-2.Are any joint costs from a combined educational campaign and fundraising solicitation reported in (B) Program services? ☐ Yes ☒ No

If 'Yes,' enter (i) the aggregate amount of these joint costs \$ _____; (ii) the amount allocated to program services \$ _____; (iii) the amount allocated to management and general \$ _____; and (iv) the amount allocated to fundraising \$ _____.

Part III Statement of Program Service Accomplishments

What is the organization's primary exempt purpose? <u>Provide Housing for Homeless</u>	Program Service Expenses (Required for 501(c)(3) and (4) organizations and 4947(a)(1) trusts; but optional for others.)
a See Statement 3	
(Grants and allocations \$ _____)	1,015,999.
b	
(Grants and allocations \$ _____)	
c	
(Grants and allocations \$ _____)	
d	
(Grants and allocations \$ _____)	
e Other program services	
f Total of Program Service Expenses (should equal line 44, column (B), program services)	1,015,999.

Part IV Balance Sheets (See Instructions)**Note:** Where required, attached schedules and amounts within the description column should be for end-of-year amounts only.

		(A) Beginning of year		(B) End of year
ASSETS	45 Cash — non-interest-bearing	146,355.	45	133,451.
	46 Savings and temporary cash investments	65,445.	46	66,019.
	47 a Accounts receivable	7,000.		
	b Less: allowance for doubtful accounts	4,500.	47 c	7,000.
	48 a Pledges receivable		48 c	
	b Less: allowance for doubtful accounts			
	49 Grants receivable	140,910.	49	67,994.
	50 Receivables from officers, directors, trustees, and key employees (attach schedule)		50	
	51 a Other notes & loans receivable (attach sch)		51 c	
	b Less: allowance for doubtful accounts			
	52 Inventories for sale or use		52	
	53 Prepaid expenses and deferred charges	21,999.	53	27,045.
	54 Investments — securities (attach schedule)		54	
	55 a Investments — land, buildings, & equipment: basis			
	b Less: accumulated depreciation (attach schedule)		55 c	
56 Investments — other (attach schedule)		56		
57 a Land, buildings, and equipment: basis	4,032,357.			
b Less: accumulated depreciation (attach schedule)	383,537.	57 c	3,648,820.	
58 Other assets (describe ▶ See Statement 5)	113,300.	58	2,654.	
59 Total assets (add lines 45 through 58) (must equal line 74)	4,226,375.	59	3,952,983.	
LIABILITIES	60 Accounts payable and accrued expenses	256,303.	60	186,861.
	61 Grants payable		61	
	62 Deferred revenue	8,195.	62	13,005.
	63 Loans from officers, directors, trustees, and key employees (attach schedule)		63	
	64 a Tax-exempt bond liabilities (attach schedule)		64 a	
	b Mortgages and other notes payable (attach schedule)	513,967.	64 b	479,587.
	65 Other liabilities (describe ▶ See Statement 6)	2,360.	65	3,004.
66 Total liabilities (add lines 60 through 65)	780,825.	66	682,457.	
NET ASSETS OR FUND BALANCES	Organizations that follow SFAS 117, check here ▶ ☒ and complete lines 67 through 69 and lines 73 and 74.			
	67 Unrestricted	3,266,670.	67	3,121,521.
	68 Temporarily restricted	178,880.	68	149,005.
	69 Permanently restricted		69	
	Organizations that do not follow SFAS 117, check here ▶ ☐ and complete lines 70 through 74.			
	70 Capital stock, trust principal, or current funds		70	
	71 Paid-in or capital surplus, or land, building, and equipment fund		71	
	72 Retained earnings, endowment, accumulated income, or other funds		72	
	73 Total net assets or fund balances (add lines 67 through 69 or lines 70 through 72; column (A) must equal line 19; column (B) must equal line 21)	3,445,550.	73	3,270,526.
	74 Total liabilities and net assets/fund balances (add lines 66 and 73)	4,226,375.	74	3,952,983.

Form 990 is available for public inspection and, for some people, serves as the primary or sole source of information about a particular organization. How the public perceives an organization in such cases may be determined by the information presented on its return. Therefore, please make sure the return is complete and accurate and fully describes, in Part III, the organization's programs and accomplishments.

BAA

Part IV-A	Reconciliation of Revenue per Audited Financial Statements with Revenue per Return (See instructions.)
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Part IV-B	Reconciliation of Expenses per Audited Financial Statements with Expenses per Return
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a	Total revenue, gains, and other support per audited financial statements.....	a	1,120,341.	a	Total expenses and losses per audited financial statements.....	a	1,293,871.
b	Amounts included on line a but not on line 12, Form 990:			b	Amounts included on line a but not on line 17, Form 990:		
(1)	Net unrealized gains on investments.... \$			(1)	Donated services and use of facilities..... \$		
(2)	Donated services and use of facilities..... \$			(2)	Prior year adjustments reported on line 20, Form 990.... \$		
(3)	Recoveries of prior year grants..... \$			(3)	Losses reported on line 20, Form 990.... \$		
(4)	Other (specify):			(4)	Other (specify):		
	----- \$				----- \$		
	Add amounts on lines (1) through (4).....	b			Add amounts on lines (1) through (4).....	b	
c	Line a minus line b	c	1,120,341.	c	Line a minus line b	c	1,293,871.
d	Amounts included on line 12, Form 990 but not on line a :			d	Amounts included on line 17, Form 990 but not on line a :		
(1)	Investment expenses not included on line 6b, Form 990..... \$			(1)	Investment expenses not included on line 6b, Form 990..... \$		
(2)	Other (specify):			(2)	Other (specify):		
	----- \$				----- \$		
	Add amounts on lines (1) and (2).....	d			Add amounts on lines (1) and (2).....	d	
e	Total revenue per line 12, Form 990 (line c plus line d).....	e	1,120,341.	e	Total expenses per line 17, Form 990 (line c plus line d).....	e	1,293,871.

Part V List of Officers, Directors, Trustees, and Key Employees (List each one even if not compensated; see instructions.)

[illegible]

75 Did any officer, director, trustee, or key employee receive aggregate compensation of more than \$100,000 from your organization and all related organizations, of which more than \$10,000 was provided by the related organizations?

If 'Yes,' attach schedule – see instructions.

► ☐ Yes

☐ No

Part VI Other Information (See instructions.)

	Yes	No
76 Did the organization engage in any activity not previously reported to the IRS? If 'Yes,' attach a detailed description of each activity.	76	X
77 Were any changes made in the organizing or governing documents but not reported to the IRS? If 'Yes,' attach a conformed copy of the changes.	77	X
78a Did the organization have unrelated business gross income of \$1,000 or more during the year covered by this return?	78a	X
b If 'Yes,' has it filed a tax return on Form 990-T for this year?	78b	N/A
79 Was there a liquidation, dissolution, termination, or substantial contraction during the year? If 'Yes,' attach a statement.	79	X
80a Is the organization related (other than by association with a statewide or nationwide organization) through common membership, governing bodies, trustees, officers, etc., to any other exempt or nonexempt organization?	80a	X
b If 'Yes,' enter the name of the organization <u>N/A</u> and check whether it is ☐ exempt or ☐ nonexempt.		
81a Enter direct or indirect political expenditures. See line 81 instructions.	81a	0.
b Did the organization file Form 1120-POL for this year?	81b	X
82a Did the organization receive donated services or the use of materials, equipment, or facilities at no charge or at substantially less than fair rental value?	82a	X
b If 'Yes,' you may indicate the value of these items here. Do not include this amount as revenue in Part I or as an expense in Part II. (See instructions in Part III.)	82b	N/A
83a Did the organization comply with the public inspection requirements for returns and exemption applications?	83a	X
b Did the organization comply with the disclosure requirements relating to quid pro quo contributions?	83b	X
84a Did the organization solicit any contributions or gifts that were not tax deductible?	84a	X
b If 'Yes,' did the organization include with every solicitation an express statement that such contributions or gifts were not tax deductible?	84b	N/A
85 501(c)(4), (5), or (6) organizations. a Were substantially all dues nondeductible by members?	85a	N/A
b Did the organization make only in-house lobbying expenditures of \$2,000 or less?	85b	N/A
If 'Yes' was answered to either 85a or 85b, do not complete 85c through 85h below unless the organization received a waiver for proxy tax owed for the prior year.		
c Dues, assessments, and similar amounts from members.	85c	N/A
d Section 162(e) lobbying and political expenditures.	85d	N/A
e Aggregate nondeductible amount of section 6033(e)(1)(A) dues notices.	85e	N/A
f Taxable amount of lobbying and political expenditures (line 85d less 85e).	85f	N/A
g Does the organization elect to pay the section 6033(e) tax on the amount on line 85f?	85g	N/A
h If section 6033(e)(1)(A) dues notices were sent, does the organization agree to add the amount on line 85f to its reasonable estimate of dues allocable to nondeductible lobbying and political expenditures for the following tax year?	85h	N/A
86 501(c)(7) organizations. Enter: a Initiation fees and capital contributions included on line 12.	86a	N/A
b Gross receipts, included on line 12, for public use of club facilities.	86b	N/A
87 501(c)(12) organizations. Enter: a Gross income from members or shareholders.	87a	N/A
b Gross income from other sources. (Do not net amounts due or paid to other sources against amounts due or received from them.)	87b	N/A
88 At any time during the year, did the organization own a 50% or greater interest in a taxable corporation or partnership, or an entity disregarded as separate from the organization under Regulations sections 301.7701-2 and 301.7701-3? If 'Yes,' complete Part IX.	88	X
89a 501(c)(3) organizations. Enter: Amount of tax imposed on the organization during the year under: section 4911 <u>0.</u> ; section 4912 <u>0.</u> ; section 4955 <u>0.</u>		
b 501(c)(3) and 501(c)(4) organizations. Did the organization engage in any section 4958 excess benefit transaction during the year or did it become aware of an excess benefit transaction from a prior year? If 'Yes,' attach a statement explaining each transaction.	89b	X
c Enter: Amount of tax imposed on the organization managers or disqualified persons during the year under sections 4912, 4955, and 4958.		0.
d Enter: Amount of tax on line 89c, above, reimbursed by the organization.		0.
90a List the states with which a copy of this return is filed <u>California</u>		
b Number of employees employed in the pay period that includes March 12, 2002 (See instructions.)	90b	0
91 The books are in care of <u>Lisa Mastropietro</u> Telephone number <u>714-836-7188</u> Located at <u>P. O. Box 1905, Santa Ana, Ca.</u> ZIP + 4 <u>92702</u>		
92 Section 4947(a)(1) nonexempt charitable trusts filing Form 990 in lieu of Form 1041 - Check here. ☐ N/A and enter the amount of tax-exempt interest received or accrued during the tax year.	92	N/A

Part VII Analysis of Income-Producing Activities (See instructions.)

Note: Enter gross amounts unless otherwise indicated.

	Unrelated business income		Excluded by section 512, 513, or 514		(E) Related or exempt function income
	(A) Business code	(B) Amount	(C) Exclusion code	(D) Amount	
93 Program service revenue:					
a Housing Contributions					106,607.
b					
c					
d					
e					
f Medicare/Medicaid payments					
g Fees & contracts from government agencies					
94 Membership dues and assessments					
95 Interest on savings & temporary cash invmnts.			14		2,554.
96 Dividends & interest from securities					
97 Net rental income or (loss) from real estate:					
a debt-financed property					
b not debt-financed property					
98 Net rental income or (loss) from pers prop.					
99 Other investment income					
100 Gain or (loss) from sales of assets other than inventory					
101 Net income or (loss) from special events					
102 Gross profit or (loss) from sales of inventory					
103 Other revenue: a					
b					
c					
d					
e					
104 Subtotal (add columns (B), (D), and (E))					109,161.
105 Total (add line 104, columns (B), (D), and (E))					109,161.

Note: Line 105 plus line 1d, Part I, should equal the amount on line 12, Part I.

Part VIII Relationship of Activities to the Accomplishment of Exempt Purposes (See instructions.)

Line No.	Explain how each activity for which income is reported in column (E) of Part VII contributed importantly to the accomplishment of the organization's exempt purposes (other than by providing funds for such purposes).
N/A	

Part IX Information Regarding Taxable Subsidiaries and Disregarded Entities (See instructions.)

(A) Name, address, and EIN of corporation, partnership, or disregarded entity	(B) Percentage of ownership interest	(C) Nature of activities	(D) Total income	(E) End-of-year assets
N/A	0%			
	0%			
	0%			
	0%			

Part X Information Regarding Transfers Associated with Personal Benefit Contracts (See instructions.)

- a Did the organization, during the year, receive any funds, directly or indirectly, to pay premiums on a personal benefit contract? ☐ Yes ☒ No
- b Did the organization, during the year, pay premiums, directly or indirectly, on a personal benefit contract? ☐ Yes ☒ No

Note: If 'Yes' to (b), file Form 8870 and Form 4720 (see instructions).

Please Sign Here	Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than officer) is based on all information of which preparer has any knowledge.	
	Signature of officer 	Date 1/6/04
Paid Preparer's Use Only	Signature of preparer David P. Doran, CPA	
	Firm's name (or yours if self-employed) White, Nelson & Co. LLP	Date 1/5/04
	Firm's address, and ZIP + 4 2400 E. Katella Ave., Ste. 900 Anaheim, CA 92806	Check if self-employed ☐ Preparer's SSN or PTIN (see General Instruction W) EIN Phone no. (714) 978-1300

SCHEDULE A
(Form 990 or 990-EZ)

Department of the Treasury
Internal Revenue Service

**Organization Exempt Under
Section 501(c)(3)**

(Except Private Foundation) and Section 501(e), 501(f), 501(k),
501(n), or Section 4947(a)(1) Nonexempt Charitable Trust

Supplementary Information — (See separate instructions.)

► **MUST** be completed by the above organizations and attached to their Form 990 or 990-EZ.

OMB No. 1545-0047

2002

Name of the organization

Mercy House Transitional Living Centers

Employer identification number

33-0315864

Part I Compensation of the Five Highest Paid Employees Other Than Officers, Directors, and Trustees

(See instructions. List each one. If there are none, enter 'None.')

(a) Name and address of each employee paid more than \$50,000	(b) Title and average hours per week devoted to position	(c) Compensation	(d) Contributions to employee benefit plans and deferred compensation	(e) Expense account and other allowances
<u>Larry Haynes</u> <u>PO Box 1905, Santa Ana, Ca</u>	<u>Executive Direc</u> <u>40</u>	<u>76,896.</u>	<u>0.</u>	<u>0.</u>
<u>Lisa Mastropietro</u> <u>PO Box 1905, Santa Ana, Ca</u>	<u>Admin. Director</u> <u>40</u>	<u>68,649.</u>	<u>0.</u>	<u>0.</u>
<u>-----</u>				
<u>-----</u>				
<u>-----</u>				
<u>-----</u>				
<u>-----</u>				
Total number of other employees paid over \$50,000	<u>0</u>			

Part II Compensation of the Five Highest Paid Independent Contractors for Professional Services

(See instructions. List each one (whether individuals or firms). If there are none, enter 'None.')

(a) Name and address of each independent contractor paid more than \$50,000	(b) Type of service	(c) Compensation
<u>None</u> <u>-----</u>		
<u>-----</u>		
<u>-----</u>		
<u>-----</u>		
<u>-----</u>		
<u>-----</u>		
<u>-----</u>		
<u>-----</u>		
Total number of others receiving over \$50,000 for professional services	<u>0</u>	

Part III Statements About Activities (See instructions.)

Yes No

- 1 During the year, has the organization attempted to influence national, state, or local legislation, including any attempt to influence public opinion on a legislative matter or referendum? If 'Yes,' enter the total expenses paid or incurred in connection with the lobbying activities. . . . ▶ \$ N/A

(Must equal amounts on line 38, Part VI-A, or line i of Part VI-B.)

1 X

Organizations that made an election under section 501(h) by filing Form 5768 must complete Part VI-A. Other organizations checking 'Yes,' must complete Part VI-B AND attach a statement giving a detailed description of the lobbying activities.

- 2 During the year, has the organization, either directly or indirectly, engaged in any of the following acts with any substantial contributors, trustees, directors, officers, creators, key employees, or members of their families, or with any taxable organization with which any such person is affiliated as an officer, director, trustee, majority owner, or principal beneficiary? (If the answer to any question is 'Yes,' attach a detailed statement explaining the transactions.)

a Sale, exchange, or leasing of property?

2a X

b Lending of money or other extension of credit?

2b X

c Furnishing of goods, services, or facilities?

2c X

d Payment of compensation (or payment or reimbursement of expenses if more than \$1,000)?

2d X

e Transfer of any part of its income or assets?

2e X

- 3 Does the organization make grants for scholarships, fellowships, student loans, etc? (See Note below.)

3 X

- 4 Do you have a section 403(b) annuity plan for your employees?

4 X

Note: Attach a statement to explain how the organization determines that individuals or organizations receiving grants or loans from it in furtherance of its charitable programs 'qualify' to receive payments.

Part IV Reason for Non-Private Foundation Status (See instructions.)

The organization is not a private foundation because it is: (Please check only **ONE** applicable box.)

- 5 ☐ A church, convention of churches, or association of churches. Section 170(b)(1)(A)(i).
- 6 ☐ A school. Section 170(b)(1)(A)(ii). (Also complete Part V.)
- 7 ☐ A hospital or a cooperative hospital service organization. Section 170(b)(1)(A)(iii).
- 8 ☐ A Federal, state, or local government or governmental unit. Section 170(b)(1)(A)(v).
- 9 ☐ A medical research organization operated in conjunction with a hospital. Section 170(b)(1)(A)(iii). Enter the hospital's name, city, and state ▶ _____
- 10 ☐ An organization operated for the benefit of a college or university owned or operated by a governmental unit. Section 170(b)(1)(A)(iv). (Also complete the **Support Schedule** in Part IV-A.)
- 11 a ☒ An organization that normally receives a substantial part of its support from a governmental unit or from the general public. Section 170(b)(1)(A)(vi). (Also complete the **Support Schedule** in Part IV-A.)
- 11 b ☐ A community trust. Section 170(b)(1)(A)(vi). (Also complete the **Support Schedule** in Part IV-A.)
- 12 ☐ An organization that normally receives: (1) more than 33-1/3% of its support from contributions, membership fees, and gross receipts from activities related to its charitable, etc, functions – subject to certain exceptions, and (2) no more than 33-1/3% of its support from gross investment income and unrelated business taxable income (less section 511 tax) from businesses acquired by the organization after June 30, 1975. See section 509(a)(2). (Also complete the **Support Schedule** in Part IV-A.)
- 13 ☐ An organization that is not controlled by any disqualified persons (other than foundation managers) and supports organizations described in: (1) lines 5 through 12 above; or (2) section 501(c)(4), (5), or (6), if they meet the test of section 509(a)(2). (See section 509(a)(3).)

Provide the following information about the supported organizations. (See instructions.)

(a) Name(s) of supported organization(s)	(b) Line number from above

- 14 ☐ An organization organized and operated to test for public safety. Section 509(a)(4). (See instructions.)

Part IV-A Support Schedule (Complete only if you checked a box on line 10, 11, or 12.) *Use cash method of accounting.***Note:** You may use the worksheet in the instructions for converting from the accrual to the cash method of accounting.

Calendar year (or fiscal year beginning in).....	(a) 2001	(b) 2000	(c) 1999	(d) 1998	(e) Total
15 Gifts, grants, and contributions received. (Do not include unusual grants. See line 28.)...	1,443,561.	3,391,236.	1,233,366.	653,005.	6,721,168.
16 Membership fees received.....					
17 Gross receipts from admissions, merchandise sold or services performed, or furnishing of facilities in any activity that is related to the organization's charitable, etc. purpose.....					
18 Gross income from interest, dividends, amounts received from payments on securities loans (section 512(a)(5)), rents, royalties, and unrelated business taxable income (less section 511 taxes) from businesses acquired by the organization after June 30, 1975.....	3,228.	14,348.	14,479.	11,009.	43,064.
19 Net income from unrelated business activities not included in line 18.....					
20 Tax revenues levied for the organization's benefit and either paid to it or expended on its behalf.....					
21 The value of services or facilities furnished to the organization by a governmental unit without charge. Do not include the value of services or facilities generally furnished to the public without charge.....					
22 Other income. Attach a schedule. Do not include gain or (loss) from sale of capital assets. See Stmt. 8.	81,580.	38,363.	20,131.	19,139.	159,213.
23 Total of lines 15 through 22....	1,528,369.	3,443,947.	1,267,976.	683,153.	6,923,445.
24 Line 23 minus line 17.....	1,528,369.	3,443,947.	1,267,976.	683,153.	6,923,445.
25 Enter 1% of line 23.....	15,284.	34,439.	12,680.	6,832.	
26 Organizations described on lines 10 or 11: a Enter 2% of amount in column (e), line 24.....					138,469.
b Prepare a list for your records to show the name of and amount contributed by each person (other than a governmental unit or publicly supported organization) whose total gifts for 1998 through 2001 exceeded the amount shown in line 26a. Do not file this list with your return. Enter the total of all these excess amounts.....					
c Total support for section 509(a)(1) test: Enter line 24, column (e).....					6,923,445.
d Add: Amounts from column (e) for lines: 18 43,064. 19.....					
22 159,213. 26b.....					202,277.
e Public support (line 26c minus line 26d total).....					6,721,168.
f Public support percentage (line 26e (numerator) divided by line 26c (denominator)).....					97.08 %
27 Organizations described on line 12: N/A					
a For amounts included in lines 15, 16, and 17 that were received from a 'disqualified person,' prepare a list for your records to show the name of, and total amounts received in each year from, each 'disqualified person.' Do not file this list with your return. Enter the sum of such amounts for each year: (2001) _____ (2000) _____ (1999) _____ (1998) _____					
b For any amount included in line 17 that was received from each person (other than 'disqualified persons'), prepare a list for your records to show the name of, and amount received for each year, that was more than the larger of (1) the amount on line 25 for the year or (2) \$5,000. (Include in the list organizations described in lines 5 through 11, as well as individuals.) Do not file this list with your return. After computing the difference between the amount received and the larger amount described in (1) or (2), enter the sum of these differences (the excess amounts) for each year: (2001) _____ (2000) _____ (1999) _____ (1998) _____					
c Add: Amounts from column (e) for lines: 15 _____ 16 _____ 17 _____ 20 _____ 21 _____					27c
d Add: Line 27a total..... and line 27b total.....					27d
e Public support (line 27c total minus line 27d total).....					27e
f Total support for section 509(a)(2) test: Enter amount from line 23, column (e)....					27f
g Public support percentage (line 27e (numerator) divided by line 27f (denominator)).....					27g %
h Investment income percentage (line 18, column (e) (numerator) divided by line 27f (denominator)).....					27h %
28 Unusual Grants: For an organization described in line 10, 11, or 12 that received any unusual grants during 1998 through 2001, prepare a list for your records to show, for each year, the name of the contributor, the date and amount of the grant, and a brief description of the nature of the grant. Do not file this list with your return. Do not include these grants in line 15.					

Part V Private School Questionnaire (See instructions.)
(To be completed ONLY by schools that checked the box on line 6 in Part IV)

N/A

	Yes	No
29 Does the organization have a racially nondiscriminatory policy toward students by statement in its charter, bylaws, other governing instrument, or in a resolution of its governing body?	29	
30 Does the organization include a statement of its racially nondiscriminatory policy toward students in all its brochures, catalogues, and other written communications with the public dealing with student admissions, programs, and scholarships?	30	
31 Has the organization publicized its racially nondiscriminatory policy through newspaper or broadcast media during the period of solicitation for students; or during the registration period if it has no solicitation program, in a way that makes the policy known to all parts of the general community it serves?	31	
If 'Yes,' please describe; if 'No,' please explain. (If you need more space, attach a separate statement.)		

32 Does the organization maintain the following:		
a Records indicating the racial composition of the student body, faculty, and administrative staff?	32a	
b Records documenting that scholarships and other financial assistance are awarded on a racially nondiscriminatory basis?	32b	
c Copies of all catalogues, brochures, announcements, and other written communications to the public dealing with student admissions, programs, and scholarships?	32c	
d Copies of all material used by the organization or on its behalf to solicit contributions?	32d	
If you answered 'No' to any of the above, please explain. (If you need more space, attach a separate statement.)		

33 Does the organization discriminate by race in any way with respect to:		
a Students' rights or privileges?	33a	
b Admissions policies?	33b	
c Employment of faculty or administrative staff?	33c	
d Scholarships or other financial assistance?	33d	
e Educational policies?	33e	
f Use of facilities?	33f	
g Athletic programs?	33g	
h Other extracurricular activities?	33h	
If you answered 'Yes' to any of the above, please explain. (If you need more space, attach a separate statement.)		

34a Does the organization receive any financial aid or assistance from a governmental agency?	34a	
b Has the organization's right to such aid ever been revoked or suspended?	34b	
If you answered 'Yes' to either 34a or b, please explain using an attached statement.		

35 Does the organization certify that it has complied with the applicable requirements of sections 4.01 through 4.05 of Rev Proc 75-50, 1975-2 C.B. 587, covering racial nondiscrimination? If 'No,' attach an explanation.	35	

Part VI-A Lobbying Expenditures by Electing Public Charities (See instructions.)
(To be completed **ONLY** by an eligible organization that filed Form 5768)

N/A

Check **a** ☐ if the organization belongs to an affiliated group. Check **b** ☐ if you checked 'a' and 'limited control' provisions apply.

Limits on Lobbying Expenditures (The term 'expenditures' means amounts paid or incurred.)		(a) Affiliated group totals	(b) To be completed for ALL electing organizations
36	Total lobbying expenditures to influence public opinion (grassroots lobbying)	36	
37	Total lobbying expenditures to influence a legislative body (direct lobbying)	37	
38	Total lobbying expenditures (add lines 36 and 37)	38	
39	Other exempt purpose expenditures	39	
40	Total exempt purpose expenditures (add lines 38 and 39)	40	
41	Lobbying nontaxable amount. Enter the amount from the following table —		
	If the amount on line 40 is —		
	The lobbying nontaxable amount is —		
	Not over \$500,000. 20% of the amount on line 40		
	Over \$500,000 but not over \$1,000,000. \$100,000 plus 15% of the excess over \$500,000		
	Over \$1,000,000 but not over \$1,500,000. \$175,000 plus 10% of the excess over \$1,000,000	41	
	Over \$1,500,000 but not over \$17,000,000. \$225,000 plus 5% of the excess over \$1,500,000		
	Over \$17,000,000. \$1,000,000		
42	Grassroots nontaxable amount (enter 25% of line 41)	42	
43	Subtract line 42 from line 36. Enter -0- if line 42 is more than line 36	43	
44	Subtract line 41 from line 38. Enter -0- if line 41 is more than line 38	44	
Caution: If there is an amount on either line 43 or line 44, you must file Form 4720.			

4-Year Averaging Period Under Section 501(h)(Some organizations that made a section 501(h) election do not have to complete all of the five columns below.
See the instructions for lines 45 through 50.)

Lobbying Expenditures During 4-Year Averaging Period					
Calendar year (or fiscal year beginning in) ▶	(a) 2002	(b) 2001	(c) 2000	(d) 1999	(e) Total
45 Lobbying nontaxable amount					
46 Lobbying ceiling amount (150% of line 45(e))					
47 Total lobbying expenditures					
48 Grassroots non-taxable amount					
49 Grassroots ceiling amount (150% of line 48(e))					
50 Grassroots lobbying expenditures					

Part VI-B Lobbying Activity by Nonelecting Public Charities

(For reporting only by organizations that did not complete Part VI-A) (See instructions.)

N/A

During the year, did the organization attempt to influence national, state or local legislation, including any attempt to influence public opinion on a legislative matter or referendum, through the use of:

Yes	No	Amount

- a Volunteers
- b Paid staff or management (Include compensation in expenses reported on lines c through h.)
- c Media advertisements
- d Mailings to members, legislators, or the public
- e Publications, or published or broadcast statements
- f Grants to other organizations for lobbying purposes
- g Direct contact with legislators, their staffs, government officials, or a legislative body
- h Rallies, demonstrations, seminars, conventions, speeches, lectures, or any other means
- i Total lobbying expenditures (add lines c through h.)

If 'Yes' to any of the above, also attach a statement giving a detailed description of the lobbying activities.

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Mercy House Transitional Living Centers

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Statement 1

Form 990, Part I, Line 20

Other Changes in Net Assets or Fund Balances

Unrealized Losses on Investments.....	\$	-1,494.
Total	\$	<u>-1,494.</u>

Statement 2

Form 990, Part II, Line 43

Other Expenses

	(A) Total	(B) Program Services	(C) Management & General	(D) Fundraising
Development Campaign	7,136.	183.	3,229.	3,724.
Director's/Officer's Insurance	1,770.	1,416.	354.	
Event Expenses	38,642.		7,941.	30,701.
General Liability Insurance	21,608.	20,471.	1,137.	
Health Insurance	23,621.	17,373.	2,148.	4,100.
Household Supplies	52,212.	52,195.	17.	
Living Assistance	57,657.	57,657.		
Other Administration	3,309.	688.	2,621.	
Other Professional Fees	50,293.	46,902.	3,391.	
Passed Through to Sub Grantees	234,815.	234,815.		
Payroll Service	2,438.		2,438.	
Repairs	17,889.	17,729.	160.	
Security	2,001.	1,757.	244.	
Social Development	5,017.	4,925.	92.	
Taxes/Licenses	1,792.	1,758.	34.	
Utilities	45,276.	44,331.	945.	
Workman's Compensation	17,409.	13,448.	1,357.	2,604.
Total	<u>\$ 582,885.</u>	<u>\$ 515,648.</u>	<u>\$ 26,108.</u>	<u>\$ 41,129.</u>

Statement 3

Form 990, Part III, Line a

Statement of Program Service Accomplishments

Description	Grants and Allocations	Program Service Expenses
Mercy House Transitional Living Center provided transitional housing at three different shelter facilities to 122 single men, single mothers and their children. The average length of stay is six months. The Mercy House Center served 986 individuals.		251,402.
Mercy House Transitional Living Center provided life skills training, career and job development, parenting skills classes, literacy classes, legal referrals, art thereapy workshops, children's art and play groups, mentoring programs, and tutoring programs to 1108 single men, single women, single mothers and children.		764,597.
	<u>\$ 0.</u>	<u>\$ 1,015,999.</u>

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Statement 4
Form 990, Part IV, Line 57
Land, Buildings, and Equipment

Category	Basis	Accum. Deprec.	Book Value
Furniture and Fixtures	\$ 403,919.	\$ 119,150.	\$ 284,769.
Machinery and Equipment	31,218.	16,494.	14,724.
Buildings	2,975,101.	247,893.	2,727,208.
Land	622,119.		622,119.
Total	\$ 4,032,357.	\$ 383,537.	\$ 3,648,820.

Statement 5
Form 990, Part IV, Line 58
Other Assets

Deposits.....	\$ 2,654.
Total	\$ 2,654.

Statement 6
Form 990, Part IV, Line 65
Other Liabilities

Resident Deposits.....	\$ 3,004.
Total	\$ 3,004.

Statement 7
Form 990, Part V
List of Officers, Directors, Trustees, and Key Employees

Name and Address	Title and Average Hours Per Week Devoted	Compen- sation	Contri- bution to EBP & DC	Expense Account/ Other
Cindy Floriani Anaheim, CA 92801	Director None	\$ 0.	\$ 0.	\$ 0.
Chris Ahearn Santa Ana, CA 92706	Director None	0.	0.	0.
Jerome Karcher Huntington Beach, CA 92646	Chairman None	0.	0.	0.
William Baker Villa Park, CA 92667	Director None	0.	0.	0.

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Statement 7 (continued)
Form 990, Part V
List of Officers, Directors, Trustees, and Key Employees

Name and Address	Title and Average Hours Per Week Devoted	Compen- sation	Contri- bution to EBP & DC	Expense Account/ Other
Gary Belz Anaheim, CA 92806	Treasurer None	\$ 0.	\$ 0.	\$ 0.
Lillian French Santa Ana, CA 92701	Director None	0.	0.	0.
Paul Giles Santa Ana, CA 92701	Director None	0.	0.	0.
Jennifer Karr Lake Forest, CA 92630	Director None	0.	0.	0.
Michael Ray Huntington Beach, CA 92648	Director None	0.	0.	0.
Thomas Conway Anaheim Hills, CA 92808	Director None	0.	0.	0.
Scott Reed Newport Beach, CA 92660	Director None	0.	0.	0.
Brandt Morrell Laguna Nguel, Ca 92677	Director None	0.	0.	0.
Jon Schrank Orange, CA 92869	Vice President None	0.	0.	0.
Johrita Solari Orange, CA 92866	Director None	0.	0.	0.
Dana Eggerts Costa Mesa, CA 92626	Director None	0.	0.	0.
Jane A McDonald Villa Park, CA 92861	Director None	0.	0.	0.

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Statement 7 (continued)
Form 990, Part V
List of Officers, Directors, Trustees, and Key Employees

Name and Address	Title and Average Hours Per Week Devoted	Compen- sation	Contri- bution to EBP & DC	Expense Account/ Other
Dan Nahabedian Newport Beach, CA 92660	Director None	\$ 0.	\$ 0.	\$ 0.
Sara D'Elia Costa Mesa, CA 92627	Secretary None	0.	0.	0.
Total		\$ 0.	\$ 0.	\$ 0.

Statement 8
Schedule A, Part IV-A, Line 22
Other Income

Description	(a) 2001	(b) 2000	(c) 1999	(d) 1998	(e) Total
Program Service Revenue	\$ 81,580.	\$ 38,363.	\$ 20,131.	\$ 19,139.	\$ 159,213.
Total	\$ 81,580.	\$ 38,363.	\$ 20,131.	\$ 19,139.	\$ 159,213.

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Form 990/990-PF

Buildings

No.	Description	Date Acquired	Date Sold	Cost/ Basis	Bus. Pct.	Cur. 179 Bonus	Special Dep. Allow.	Prior 179/ Bonus/ Sp. Dep.	Prior Dec. Bal. Dep.	Salvage /Basis Reductn.	Dep. Basis	Prior Dep.	Method	Life	Rate	Current Dep.
1	Regina House-Building	4/01/94		271,945							271,945	55,365	S/L	40		6,799
2	Joseph House-Building	7/01/95		218,962							218,962	38,318	S/L	40		5,474
19	Carpet-Joseph House	3/09/98		4,882							4,882	2,440	S/L	10		488
21	Carpet-Joseph House	6/30/98		380							380	190	S/L	10		38
22	Carpet-Regina House	2/09/98		3,133							3,133	1,565	S/L	10		313
23	Carpet-Regina House	6/28/98		2,665							2,665	1,335	S/L	10		267
32	Emmanuel House	5/01/01		2,430,451							2,430,451	70,888	S/L	40		60,761
42	Exterior Painting-Joseph	12/18/01		1,500							1,500	150	S/L	10		150
43	Exterior Painting-Joseph	2/05/02		1,875							1,875	187	S/L	10		188
44	Exterior Painting-Joseph	2/12/02		1,775							1,775	177	S/L	10		178
45	Exterior Painting-Joseph	2/22/02		2,150							2,150	215	S/L	10		215
46	Carpet-Joseph House	2/13/02		1,110							1,110	111	S/L	10		111
47	Carpet-Joseph House	2/13/02		1,862							1,862	186	S/L	10		186
48	Carpet-Joseph House	3/28/02		1,995							1,995	199	S/L	10		200
49	Carpet-Joseph House	3/28/02		950							950	95	S/L	10		95
50	A/C Vent Comp Rm-Emmanuel	5/20/02		1,228							1,228	31	S/L	40		31
60	Dead Bolts-Regina House	9/17/01		1,197							1,197	30	S/L	10		120
72	China Sinks - Regina Hous	2/06/03		1,143							1,143		S/L	10		48
73	Flooring - Regina House	2/28/03		1,476							1,476		S/L	10		62
74	Flooring - Regina House	2/28/03		1,476							1,476		S/L	10		61
75	Exterior Painting -Regina	3/14/03		8,171							8,171		S/L	10		204
76	Exterior Painting -Regina	3/14/03		8,171							8,171		S/L	10		204
77	Cabinets - Joseph	3/26/03		3,960							3,960		S/L	10		99

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No.	Description	Date Acquired	Date Sold	Cost/ Basis	Bus. Pct.	Cur. 179 Bonus	Special Dep. Allow.	Prior 179/ Bonus/ Sp. Depr.	Prior Dec. Bal. Depr.	Salvage /Basis Reductn.	Depr. Basis	Prior Depr.	Method	Life	Rate	Current Depr.
78	Room Divider - Joseph	6/27/03		780							780		S/L	10		0
84	Floating Shelf - Emmanuel	12/23/02		800							800		S/L	10		47
85	Copper Plumbing	11/22/02		1,064							1,064		S/L	10		71
	Total Buildings			2,975,101		0	0	0	0	0	2,975,101	171,482				76,410
Furniture and Fixtures																
3	Furnishings-Regina House	4/01/94		18,485							18,485	14,957	S/L	10		1,848
4	Refrigerator-Joseph House	1/01/96		3,421							3,421	2,394	S/L	10		342
5	TV, Microwave, Phone-Jose	1/01/96		2,241							2,241	1,568	S/L	10		224
6	Washers & Dryers-Joseph	1/01/96		2,846							2,846	1,995	S/L	10		285
7	Linens & Towels-Joseph	1/01/96		1,578							1,578	1,106	S/L	10		472
8	Bedroom & Living Rm-Josep	1/01/96		11,932							11,932	8,351	S/L	10		1,193
16	A/C Unit-Joseph House	1/07/98		494							494	245	S/L	10		249
18	Beds-Joseph House	7/01/97		780							780	390	S/L	10		78
20	Pictures-Joseph House	6/24/98		2,236							2,236	1,119	S/L	10		223
27	Office Refrigerator	5/15/99		140							140	56	S/L	10		84
28	Mattresses	5/04/99		482							482	182	S/L	10		300
29	Desks	5/04/99		410							410	164	S/L	10		246
38	Wall Units-Joseph House	4/23/01		731							731	85	S/L	10		73
39	Wall Units-Regina House	4/23/01		732							732	85	S/L	10		73
40	Purchased Furniture-Emman	5/01/01		130,640							130,640	15,241	S/L	10		13,064
41	Donated Furniture-Emmanue	5/01/01		196,558							196,558	22,932	S/L	10		19,656
52	Wall Units-Joseph House	10/26/01		977							977	65	S/L	10		105
53	Dishwashers-Joseph House	12/18/01		1,788							1,788	179	S/L	10		179
54	Stoves-Joseph House	12/18/01		1,997							1,997	200	S/L	10		200
55	Wall Units-Regina House	10/26/01		977							977	65	S/L	10		98

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No.	Description	Date Acquired	Date Sold	Cost/ Basis	Bus. Pct.	Cur 179 Bonus	Special Dep. Allow.	Prior 179/ Bonus/ Sp. Depr.	Prior Dec. Bal. Depr.	Salvage /Basis Reductn.	Depr. Basis	Prior Depr.	Method	Life	Rate	Current Depr.
56	Picnic Table	5/01/02		561							561	5	S/L	10		61
57	Wall Units-Emmanuel House	10/26/01		5,883							5,883	392	S/L	10		588
58	Wall Units-Emmanuel House	2/20/02		932							932	31	S/L	10		108
59	Wall Units-Emmanuel House	5/20/02		3,145							3,145	26	S/L	10		315
66	Laundry Room	12/23/02		1,715							1,715		S/L	10		86
67	Laundry Room #2	12/23/02		1,785							1,785		S/L	10		89
81	Bed - Joseph	6/25/03		777							777		S/L	10		0
Total Furniture and Fixtures											394,243	71,833				40,239
Land																
11	Land-1505 Bush	4/01/94		124,479							124,479					0
12	Land-1509 Bush	4/01/94		156,302							156,302					0
13	Land-Joseph House	1/01/96		11,038							11,038					0
24	Land-Emmanuel House	6/30/99		330,300							330,300					0
Total Land											622,119	0				0
Machinery and Equipment																
9	Equipment-General	Various		5,566							5,566	5,535	S/L	10		32
10	Equipment-Regina House	Various		4,248							4,248	4,225	S/L	10		23
14	Laptop Computer	9/27/96		1,538							1,538	924	S/L	10		614
15	Answering Machine	9/22/97		200							200	100	S/L	10		100
17	A/C Unit-Regina House	8/28/97		2,512							2,512	1,255	S/L	10		251
25	Copier	5/15/99		500							500	200	S/L	10		299
26	Fax	5/15/99		140							140	56	S/L	10		84
30	Computer	2/15/00		2,242							2,242	1,344	S/L	5		448

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No.	Description	Date Acquired	Date Sold	Cost/ Basis	Bus. Pct.	Cur 179 Bonus	Special Dep. Allow.	Prior 179/ Bonus/ Sp. Depr.	Prior Dec. Bal. Depr.	Salvage /Basis Reductn.	Depr. Basis	Prior Depr.	Method	Life	Rate	Current Depr.			
31	Copier	2/08/00		754							754	453	S/L	5		151			
33	Computers-Office	2/28/01		1,580							1,580	421	S/L	5		316			
34	Computers-Office	3/03/01		3,010							3,010	802	S/L	5		602			
35	Laser Printer-Office	6/18/01		1,521							1,521	304	S/L	5		304			
36	MIP Software	8/10/00		2,603							2,603	955	S/L	5		521			
37	A/C Unit-Joseph House	7/13/00		2,275							2,275	456	S/L	10		655			
51	Telosa Software	6/13/02		5,377							5,377		S/L	5		1,120			
61	MIP Upgrade	7/24/02		3,500							3,500		S/L	5		700			
64	Computers	9/09/02		1,929							1,929		S/L	5		321			
70	Computers - Emman. House	6/30/03		722							722		S/L	5		0			
71	Computer - Regina House	6/30/03		678							678		S/L	5		0			
Total Machinery and Equipment												40,895	0	0	0	0	40,895	17,030	6,541
Total Depreciation												4,032,358	0	0	0	0	4,032,358	260,345	123,190
Grand Total Depreciation												4,032,358	0	0	0	0	4,032,358	260,345	123,190

YEAR
2002

California Exempt Organization Annual Information Return

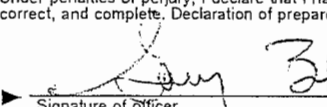
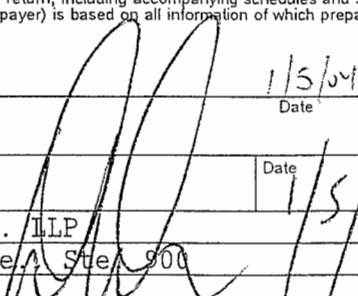
FORM
199

For calendar or fiscal year beginning month <u>07</u> day <u>01</u> year <u>2002</u> , and ending month <u>06</u> day <u>30</u> year <u>2003</u>	
IMPORTANT: Your number is required.	
California corporation number 1439992	Federal employer identification number 33-0315864
Attach Preaddressed Label or See Instructions	
Corporation/Organization name Mercy House Transitional Living Centers	
Address P. O. Box 1905	APT no. PMB no.
City Santa Ana, CA 92702	State ZIP Code
A Final return? ☐ Yes. Check applicable box. ☒ No • ☐ Dissolved ☐ Withdrawn ☐ Merged/Reorganized (attach explanation) If a box is checked, enter date • B Check forms filed this year: State: ☐ 109 ☐ 100 ☐ 100S ☐ 100W Fed: ☒ 990 Fed: ☐ 990EZ ☐ 990T ☐ 990PF ☐ 1041 ☐ 1120H ☐ 1120 C If organization is exempt under R&TC Section 23701d and is a school, public charity, religious organization, or is controlled by a religious operation, check box. See General Instruction F. No filing fee is required. • ☐ D Is this a group filing? See General Instruction M. ☐ Yes ☒ No E Accounting method used . <u>Cash</u> F Type of organization ☒ Exemption under Section 23701 <u>d</u> (insert letter) ☐ IRC Section 4947(a)(1) trust	

Part I Complete Part I unless not required to file this form. See General Instructions B and C.

Receipts and Revenues (Attach check or money order here.)	1 Gross sales or receipts from other sources. From Side 2, Part II, line 8	1	109,161.
	2 Gross dues and assessments from members and affiliates.	2	
	3 Gross contributions, gifts, grants, and similar amounts received. See instructions.	3	1,011,180.
	4 Total gross receipts for filing requirement test. Add line 1 through line 3 This line must be completed. If the result is less than \$25,000, see General Instruction C.	4	1,120,341.
	5 Cost of goods sold	5	
	6 Cost or other basis, and sales expenses of assets sold.	6	
	7 Total costs. Add line 5 and line 6.	7	
	8 Total gross income. Subtract line 7 from line 4	8	1,120,341.
Expenses	9 Total expenses and disbursements. From Side 2, Part II, line 18	9	1,293,871.
	10 Excess of receipts over expenses and disbursements. Subtract line 9 from line 8	10	-173,530.
Filing Fee	11 Filing fee \$10 or \$25. See General Instruction F.	11	10.
	12 Penalty for failure to file on time. See General Instruction L.	12	
	13 Balance due. Add line 11 and line 12.	13	10.

- 14 If exempt under R&TC Section 23701d, has the organization during the year: (1) participated in any political campaign or (2) attempted to influence legislation or any ballot measure, or (3) made an election under R&TC Section 23704.5 (relating to lobbying by public charities)? If 'Yes,' complete and attach form FTB 3509, Political or Legislative Activities by Section 23701d Organizations ☐ Yes ☒ No
- 15 Did the organization have any changes in its activities, governing instrument, articles of incorporation, or bylaws that have not been reported to the Franchise Tax Board? If 'Yes,' complete an explanation and attach copies of revised documents. ☐ Yes ☒ No
- 16 Is the organization exempt under R&TC Section 23701g? ☐ Yes ☒ No
If 'Yes,' enter amount of gross receipts from nonmember sources. . . \$ _____
- 17 Did the organization file Form 100, Form 100S, 100W, or Form 109 to report taxable income? ☐ Yes ☒ No
If 'Yes,' enter amount of total income reported. . . . \$ _____
- 18 The financial records are in care of. Lisa Mastropietro Daytime telephone 714-836-7188
located at P. O. Box 1905, Santa Ana, Ca. 92702

Please Sign Here	Signature of officer 	Date <u>1/5/04</u>	Title <u>Treasurer</u>
	Daytime telephone <u>714-836-7188</u>		
Paid Preparer's Use Only	Preparer's signature 	Date <u>1/5/04</u>	Check if self-employed ☐ • Preparer's SSN or PTIN <u>P00127003</u>
	Firm's name (or yours, if self-employed) and address <u>White, Nelson & Co. LLP</u> <u>2400 E. Katella Ave., Ste. 900</u> <u>Anaheim, CA 92806</u>		FEIN <u>33-0686301</u> Daytime telephone <u>(714) 978-1300</u>

CACA9712L 12/16/02

Part II Organizations with gross receipts of more than \$25,000 and private foundations regardless of amount of gross receipts – complete Part II or furnish substitute information. See Specific Line Instructions.

Receipts from Other Sources	1	Gross sales or receipts from all business activities. See instructions	1	
	2	Interest	2	2,554.
	3	Dividends	3	
	4	Gross rents	4	
	5	Gross royalties	5	
	6	Gross amount received from sale of assets	6	
	7	Other income. Attach schedule	7	106,607.
	8	Total gross sales or receipts from other sources. Add line 1 through line 7. Enter here and on Side 1, Part I, line 1	8	109,161.
Expenses and Disbursements	9	Contributions, gifts, grants, and similar amounts paid. Attach schedule	9	
	10	Disbursements to or for members	10	
	11	Compensation of officers, directors, and trustees. Attach schedule	11	0.
	12	Other salaries and wages	12	494,289.
	13	Interest	13	10,772.
	14	Taxes	14	
	15	Rents	15	
	16	Depreciation and depletion	16	123,190.
	17	Other. Attach schedule	17	665,620.
	18	Total expenses and disbursements. Add line 9 through line 17. Enter here and on Side 1, Part I, line 9	18	1,293,871.

Schedule L Balance Sheets

Assets	Beginning of taxable year		End of taxable year	
	(a)	(b)	(c)	(d)
1 Cash		211,800.		199,470.
2 Net accounts receivable		145,410.		74,994.
3 Net notes receivable. Attach schedule				
4 Inventories				
5 Federal and state government obligations				
6 Investments in other bonds. Attach schedule				
7 Investments in stock. Attach schedule				
8 Mortgage loans (number of loans				
9 Other investments. Attach schedule				
10a Depreciable assets	3,372,094.		3,410,238.	
b Less accumulated depreciation	260,347.	3,111,747.	383,537.	3,026,701.
11 Land		622,119.		622,119.
12 Other assets. Attach schedule		135,299.		29,699.
13 Total assets		4,226,375.		3,952,983.
Liabilities and net worth				
14 Accounts payable		256,303.		186,861.
15 Contributions, gifts, or grants payable				
16 Bonds and notes payable. Attach schedule				
17 Mortgages payable		513,967.		479,587.
18 Other liabilities. Attach schedule		10,555.		16,009.
19 Capital stock or principle fund		3,445,550.		3,270,526.
20 Paid-in or capital surplus. Attach reconciliation				
21 Retained earnings or income fund				
22 Total liabilities and net worth		4,226,375.		3,952,983.

Schedule M-1 Reconciliation of income per books with income per return

Do not complete this schedule if the amount on Schedule L, line 13, column (d), is less than \$25,000

1 Net income per books	-173,530.	7 Income recorded on books this year not included in this return. Attach schedule	
2 Federal income tax		8 Deductions in this return not charged against book income this year. Attach schedule	
3 Excess of capital losses over capital gains		9 Total. Add line 7 and line 8	
4 Income not recorded on books this year. Attach schedule		10 Net income per return. Subtract line 9 from line 6	-173,530.
5 Expenses recorded on books this year not deducted in this return. Attach schedule			
6 Total. Add line 1 through line 5	-173,530.		

2002 Corporation Depreciation and Amortization

3885

Attach to Form 100 or Form 100W. **Form 199**

Corporation name

California corporation number

Mercy House Transitional Living Centers

1439992

Part I Depreciation

1	(a) Description of property	(b) Date acquired	(c) Cost or other basis	(d) Depreciation allowed or allowable in earlier years	(e) Method of figuring depreciation	(f) Life or rate	(g) Depreciation for this year	(h) Additional first year depreciation
	Office Refrigerat	5/15/99	140.	56.	S/L	10	84.	
	Mattresses	5/04/99	482.	182.	S/L	10	300.	
	Desks	5/04/99	410.	164.	S/L	10	246.	
	Computer	2/15/00	2,242.	1,344.	S/L	5	448.	
	Copier	2/08/00	754.	453.	S/L	5	151.	
	Emmanuel House	5/01/01	2,430,451.	70,888.	S/L	40	60,761.	
	Computers-Office	2/28/01	1,580.	421.	S/L	5	316.	
	Computers-Office	3/03/01	3,010.	802.	S/L	5	602.	
	Laser Printer-Off	6/18/01	1,521.	304.	S/L	5	304.	
	MIP Software	8/10/00	2,603.	955.	S/L	5	521.	
	A/C Unit-Joseph H	7/13/00	2,275.	456.	S/L	10	655.	
	Wall Units-Joseph	4/23/01	731.	85.	S/L	10	73.	
	Wall Units-Regina	4/23/01	732.	85.	S/L	10	73.	

2 Add the amounts in column (g) and column (h). The combined total of column (h) may not exceed \$2,000. See instructions for line 1, column (h)

 z

3 Total. Add the amounts on line 2, column (g) and column (h).....

3

4 Total depreciation claimed for federal purposes from federal Form 4562, line 22.....

4

5 Depreciation adjustment. If line 4 is greater than line 3, enter the difference here and on Form 100 or Form 100W, Side 1, line 6. If line 4 is less than line 3, enter the difference here and on Form 100 or Form 100W, Side 1, line 12. (If California depreciation amounts are used to determine net income before state adjustments on Form 100 or Form 100W, no adjustment is necessary.)

5

Part II Amortization

1	(a) Description of property	(b) Date acquired	(c) Cost or other basis	(d) Amortization allowed or allowable in earlier years	(e) R&TC section	(f) Period or percentage	(g) Amortization for this year
2	Total. Add the amounts in column (g)						2
3	Total amortization claimed for federal purposes from federal Form 4562, line 44.						3
4	Amortization adjustment. If line 3 is greater than line 2, enter the difference here and on Form 100 or Form 100W, Side 1, line 6. If line 3 is less than line 2, enter the difference here and on Form 100 or Form 100W, Side 1, line 12						4

2002

Corporation Depreciation and Amortization

3885

Attach to Form 100 or Form 100W. **Form 199**

Corporation name

California corporation number

Mercy House Transitional Living Centers

1439992

Part I Depreciation

1	(a) Description of property	(b) Date acquired	(c) Cost or other basis	(d) Depreciation allowed or allowable in earlier years	(e) Method of figuring depreciation	(f) Life or rate	(g) Depreciation for this year	(h) Additional first year depreciation
	Purchased Furnitu	5/01/01	130,640.	15,241.	S/L	10	13,064.	
	Donated Furniture	5/01/01	196,558.	22,932.	S/L	10	19,656.	
	Exterior Painting	12/18/01	1,500.	150.	S/L	10	150.	
	Exterior Painting	2/05/02	1,875.	187.	S/L	10	188.	
	Exterior Painting	2/12/02	1,775.	177.	S/L	10	178.	
	Exterior Painting	2/22/02	2,150.	215.	S/L	10	215.	
	Carpet-Joseph Hou	2/13/02	1,110.	111.	S/L	10	111.	
	Carpet-Joseph Hou	2/13/02	1,862.	186.	S/L	10	186.	
	Carpet-Joseph Hou	3/28/02	1,995.	199.	S/L	10	200.	
	Carpet-Joseph Hou	3/28/02	950.	95.	S/L	10	95.	
	A/C Vent Comp Rm-	5/20/02	1,228.	31.	S/L	40	31.	
	Telosa Software	6/13/02	5,377.		S/L	5	1,120.	
	Wall Units-Joseph	10/26/01	977.	65.	S/L	10	105.	

2 Add the amounts in column (g) and column (h). The combined total of column (h) may not exceed \$2,000. See instructions for line 1, column (h)

2

3 Total. Add the amounts on line 2, column (g) and column (h).....

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4 Total depreciation claimed for federal purposes from federal Form 4562, line 22.....

Δ

5 Depreciation adjustment. If line 4 is greater than line 3, enter the difference here and on Form 100 or Form 100W, Side 1, line 6. If line 4 is less than line 3, enter the difference here and on Form 100 or Form 100W, Side 1, line 12. (If California depreciation amounts are used to determine net income before state adjustments on Form 100 or Form 100W, no adjustment is necessary.)

5

Part II Amortization

1	(a) Description of property	(b) Date acquired	(c) Cost or other basis	(d) Amortization allowed or allowable in earlier years	(e) R&TC section	(f) Period or percentage	(g) Amortization for this year
2	Total. Add the amounts in column (g)						2
3	Total amortization claimed for federal purposes from federal Form 4562, line 44						3
4	Amortization adjustment. If line 3 is greater than line 2, enter the difference here and on Form 100 or Form 100W, Side 1, line 6. If line 3 is less than line 2, enter the difference here and on Form 100 or Form 100W, Side 1, line 12						4

2002

California Statements

Page 1

Client 5291

Mercy House Transitional Living Centers

33-0315864

1/05/04

12:55PM

Statement 1
Form 199, Part II, Line 7
Other Income

Program Service Revenue.....	\$	106,607.
Total	\$	<u>106,607.</u>

Statement 2
Form 199, Part II, Line 11
Compensation of Officers, Directors, and Trustees

Name, Address and Social Security Number	Title and Average Hours Per Week Devoted	Compen- sation	Contri- bution to EBP & DC	Expense Account/ Other
Cindy Floriani Anaheim, CA 92801	Director None	\$ 0.	\$ 0.	\$ 0.
Chris Ahearn Santa Ana, CA 92706	Director None	0.	0.	0.
Jerome Karcher Huntington Beach, CA 92646	Chairman None	0.	0.	0.
William Baker Villa Park, CA 92667	Director None	0.	0.	0.
Gary Belz Anaheim, CA 92806	Treasurer None	0.	0.	0.
Lillian French Santa Ana, CA 92701	Director None	0.	0.	0.
Paul Giles Santa Ana, CA 92701	Director None	0.	0.	0.
Jennifer Karr Lake Forest, CA 92630	Director None	0.	0.	0.

Client 5291

Mercy House Transitional Living Centers

33-0315864

1/05/04

12:55PM

Statement 2 (continued)
Form 199, Part II, Line 11
Compensation of Officers, Directors, and Trustees

Name, Address and Social Security Number	Title and Average Hours Per Week Devoted	Compen- sation	Contri- bution to EBP & DC	Expense Account/ Other
Michael Ray Huntington Beach, CA 92648	Director None	\$ 0.	\$ 0.	\$ 0.
Thomas Conway Anaheim Hills, CA 92808	Director None	0.	0.	0.
Scott Reed Newport Beach, CA 92660	Director None	0.	0.	0.
Brandt Morrell Laguna Nguel, Ca 92677	Director None	0.	0.	0.
Jon Schrank Orange, CA 92869	Vice President None	0.	0.	0.
Johrita Solari Orange, CA 92866	Director None	0.	0.	0.
Dana Eggerts Costa Mesa, CA 92626	Director None	0.	0.	0.
Jane A McDonald Villa Park, CA 92861	Director None	0.	0.	0.
Dan Nahabedian Newport Beach, CA 92660	Director None	0.	0.	0.
Sara D'Elia Costa Mesa, CA 92627	Secretary None	0.	0.	0.

Total \$ 0. \$ 0. \$ 0.

Client 5291

Mercy House Transitional Living Centers

33-0315864

1/05/04

12:55PM

Statement 3
Form 99, Part II, Line 17
Other Expenses

Accounting Fees.....	\$ 9,800.
Conferences, Conventions, and Meetings.....	702.
Development Campaign.....	7,136.
Director's/Officer's Insurance.....	1,770.
Equipment Rental and Maintenance.....	3,300.
Event Expenses.....	38,642.
General Liability Insurance.....	21,608.
Health Insurance.....	23,621.
Household Supplies.....	52,212.
Living Assistance.....	57,657.
Other Administration.....	3,309.
Other Professional Fees.....	50,293.
Passed Through to Sub Grantees.....	234,815.
Payroll Service.....	2,438.
Postage and Shipping.....	9,445.
Printing and Publications.....	21,851.
Professional Fundraising Fees.....	488.
Repairs.....	17,889.
Security.....	2,001.
Social Development.....	5,017.
Supplies.....	19,756.
Taxes/Licenses.....	1,792.
Telephone.....	16,850.
Travel.....	543.
Utilities.....	45,276.
Workman's Compensation.....	17,409.
Total	\$ <u>665,620.</u>

Statement 4
Form 99, Schedule L, Line 12
Other Assets

Deposits.....	2,654.
Prepaid Expenses and Deferred Charges.....	27,045.
Total	\$ <u>29,699.</u>

Statement 5
Form 99, Schedule L, Line 18
Other Liabilities

Deferred Revenue.....	13,005.
Resident Deposits.....	3,004.
Total	\$ <u>16,009.</u>